#6 · 8.2% of marks

Ch 14 — Mergers, Acquisitions & Corporate Restructuring

SM TYK theory Qs: **synergy** (para 2) · **reverse merger / takeover by reverse bid** (6) · **equity carve-out vs spin-off** (7.2) · **horizontal vs vertical merger** (3). Numericals: swap ratio, post-merger EPS / MPS, true cost, restructuring.

1 Conceptual framework (SM 1)

- → ***Corporate restructuring*** *= expansion or contraction of operations, or changes in assets, financial or ownership structure.* ***Internal****: new plant, R&D, hiving off non-core, divestment, sell-offs, demerger.* ***External****: M&A, JVs, strategic alliances.*
- → ***Merger*** *= two entities unify into one (legal name in India:* ***amalgamation****).* ***Acquisition*** *= one buys out another; both may remain separate entities.* ***Consolidation*** *= both dissolve, new one created.*
- → *Halsbury: amalgamation = blending of undertakings, shareholders of each becoming substantially shareholders of the amalgamated company. Only one company + rights varied =* ***reconstruction / arrangement****.*
- → *Law:* ***Companies Act 2013, Ch XV (s 230–240)*** *— compromise, arrangements, amalgamations, CDR, demergers, fast-track mergers, cross-border mergers.* ***Takeovers regulated by SEBI****; also FEMA, IT Act (****s 72A*** *revival), Competition Act 2002, IDRA 1951.*
- → *India's first takeover attempt:* ***Swaraj Paul – Escorts****.*

2 Rationale for M&A (SM 2) — TYK Q1 "synergy"

Synergistic operating economics: V(AB) > V(A) + V(B)*. Synergy = increase in performance of the combined firm over what the two would achieve independently (Mark Sirower, "The Synergy Trap"). Sources:* ***complementary activities*** *(one has branch network, other efficient production) and* ***economies of scale*** *(shared central services). Economies may be* ***real*** *(less input per unit) or* ***pecuniary*** *(lower prices for bulk inputs).*

- → ***Diversification*** *— unrelated merger cuts business risk → lower discount rate → higher value; more so with* ***independent / negatively correlated*** *income streams*
- → ***Taxation*** *— set off / carry forward of losses; target's losses set off against acquirer's profits*
- → ***Growth*** *— faster than organic: shorter "time to market" (no delays on site, plant, hiring)*
- → ***Consolidation of production capacity & market power*** *— reduced competition*

SM examples: growth / snuff competition — Airtel–Loop, Facebook–WhatsApp · capability — Google–Motorola (patents), Flipkart–Myntra · new market — Airtel–Zain, Cargill–Wipro · funds — Ranbaxy–Sun, Jaypee–UltraTech · tax — Burger King–Tim Hortons, DPL–WBPDCL.

③ Forms (types) of mergers (SM 3) — TYK Q4

Type	SM meaning
Horizontal	Same industry; larger market share; may move towards monopoly / near-monopoly to avoid competition
Vertical	Companies with a **buyer-seller** (or potential buyer-seller) relationship
Conglomerate	Unrelated businesses — neither horizontal nor vertical; pure = no common factors; purpose: use of financial resources, **enlarged debt capacity**, managerial synergy
Congeneric	Related through basic technologies, production processes or markets; extension of product-line / markets / technology; outward move within the industry
Reverse	Private company acquires a **public (shell)** company — bypasses the lengthy process of going public
Acquisition	Purchase of controlling interest via: (i) agreement with majority holder (ii) new shares by private agreement (iii) open-market purchase (open offer) (iv) cash / share issue (v) buyout offer to general body. Acquirer may merge or run target independently. Usually friendly.

Slump sale: business sold as a going concern for a lump sum without values to individual assets; transfer without allotting shares need not go through court (transferor continues).

④ Gains from merger (SM 4.1)

Value of acquirer + stand-alone value of target + **value of synergy** = combined value

Cost of acquisition = premium over market value + integration costs · **Net gain = synergy − premium**

SM eg: V_A 100, V_B 50, V_{AB} 175 → synergy **25**; premium 10 → net gain **15**

Value can be made from **non-synergistic** acquisitions too — **operating improvements** are a big source; managerial talent is the key; tie executive pay / equity to post-merger performance (Anslinger & Copeland, HBR 1996).

⑤ Scheme, evaluation, finance (SM 4.2–4.4)

- → **Scheme** = heart of the process; no prescribed form. Must vest **all assets & liabilities** of transferor in transferee (else dispose / settle first — otherwise defective, court won't sanction). Define the **effective date**. Courts won't re-examine valuation if fair — **Hindustan Lever**: SC won't interfere when > 99% shareholders approved.
- → **Financial evaluation** asks: (a) **maximum price** to pay (b) principal **risk** areas (c) **cash-flow & balance-sheet** implications (d) best way to **structure** the deal
- → **Financing**: cash, stock or both (in Definitive Agreement). Pay in shares even with cash available — keep a **war chest** for future deals, or acquirer's shares are **overpriced**. LBOs: immediate funding by **bridge financing**, long-term funds later.

THEORY · MCQ

Hostile takeover: *acquirer's board approaches target's shareholders directly through a **public announcement (tender offer)** after the target's board rejects the offer.*

⑥ Takeover strategies (SM 5.1)

Strategy	SM meaning
Street sweep	*Accumulate a large number of target shares **before** making an open offer → target left with no choice*
Bear hug	*Acquirer **threatens** an open offer → target's board agrees to a settlement for change of control*
Strategic alliance	*Disarm the acquirer by offering a **partnership** instead of a buyout; acquirer asserts control from within and takes over*
Brand power	*Alliance with powerful brands to displace target's brands, then buy out the weakened company*

⑦ Defensive tactics (SM 5.2)

Tactic	SM meaning
Divestiture	*Target divests / spins off some businesses into an independent subsidiary → less attractive*
Crown jewels	*Divestiture tactic = selling the crown jewels; not allowed in UK once the deal is known*
Poison pill	*Make itself unattractive, e.g. issue substantial **convertible debentures** to existing shareholders, convertible when threatened → voting shares rise sharply*
Poison put	*Target issues **bonds** encouraging holders to cash in at higher prices → cash drain*
Greenmail	*Target's management offers the bidder an incentive (higher-than-market price for **its** shares) to drop the takeover*
White knight	*Target offers itself to a **friendly company** to escape the hostile one (keep management)*
White squire	*Like white knight, but shares sold to a company **not interested in takeover** → management keeps control*
Golden parachute	*Hefty compensation to managers ousted due to takeover → reduces acquirer's interest*
Pac-man	*Target makes a **counter-bid** for the acquirer*

Greenmail = target **pays the bidder** to go away. White knight = friendly party **takes over**. White squire = friendly party buys shares but **doesn't take over**. SM: hostile takeovers should be avoided as far as possible.

⑧ Reverse merger (SM 6) — TYK Q2

- *Smaller company gains control of a larger one; the **healthy, prosperous** company's undertaking is merged into the **sick, non-viable** one (sick = net worth eroded). Also "**takeover by reverse bid**" / "**back door listing**".*
- ***3 tests***: *(i) transferor's assets > transferee's (ii) equity issued by transferee > its original issued capital (iii) change of control in transferee through a minority holder / group*
- ***Benefits***: *easy access to capital market · visibility · tax benefit on carry-forward losses of the acquired public company · cheaper, easier route to become public*

⑨ Divestiture (SM 7)

Reasons (4): (i) focus on core (ii) division not contributing enough revenue (iii) firm too big to handle (iv) cash needed urgently for other opportunities. ***Seller's perspective***: selling needs the same skill as buying; know your worth. Sell-side imperatives: competitor pressure; sale inevitable (no new technology, entry barriers, badly positioned, critical mass not reached, poor use of distribution, no new SBUs, not enough capital) · ***window of opportunity*** · focus on core competencies · best interest of shareholders.

Form (SM 7.2)	SM meaning
Sell-off / partial sell-off	Sale of asset, factory, division, product line or subsidiary for cash / securities; unit doesn't fit core strategy; market may undervalue combined business; raises cash (raiders sold subsidiaries to service LBO debt)
Spin-off	Part separated into a new firm; existing shareholders get ***proportionate ownership***; management parted; ***no fresh cash***. Reasons: separate identity · avoid takeover (valuable division spun off) · separate regulated & unregulated lines. Eg Future Group → Ezone
Split-up	Entire firm broken into a series of spin-offs; ***parent ceases to exist***; smaller units more manageable
Equity carve-out	Like spin-off but some shares sold to the public by ***IPO → brings cash***; parent keeps controlling stake; used when the subsidiary grows faster / has higher valuation; fails if carved out as a burden
Demerger of family business	~80% of Indian private companies family-managed; hive off unprofitable units for succession; step 1 identify core / non-core, step 2 cut interest through debt restructuring + sale of surplus assets

⚠ TRAP

TYK Q3 — carve-out vs spin-off: both create a separate company; spin-off shares go to ***existing shareholders*** pro rata with ***no cash***; carve-out sells shares to the ***public (IPO)***, ***raises cash***, parent retains control.

⑩ Financial restructuring (SM 8) = internal reconstruction

- → Internal changes in assets & liabilities ***with stakeholders' consent***, for firms with sizeable losses / eroded or negative net worth → fresh balance sheet free of losses and fictitious assets
- → Sacrifice order: ***equity shareholders most***, then preference holders, debenture holders, lenders, creditors — waivers, lower coupons, ***debt-to-equity conversion***
- → Results: (i) reduction / waiver of claims (ii) assets at real worth by revaluation (iii) gains on appreciation used to write off losses, fictitious assets, provide for doubtful debts

SM Illus 1 (XYZ): benefits = equity reduced 450 + preference 100 + debenture interest waived 26 + creditors 25% waived 75 + land revalued 50 = ***701***; used for P&L 485 + issue cost 5 + preliminary 10 + bad-debt provision 5 + P&M write-down 196 = ***701***. New BS total ***₹825 lakh***; cash = 130 + 150 − 74 = 206.

11 Ownership restructuring (SM 9)

- → **Going private**: listed company converted into private by buying back all outstanding shares (Essar Energy delisted from LSE, 2014); via management buyout or tender offer; usually **heavy debt**
- → **MBO**: company bought by its own management; useful to exit non-core divisions
- → **LBO**: financed entirely or partially **(50% or more) by borrowed funds**; target goes private; secured on acquired firm's physical assets; improve efficiency → cash flow repays debt → may go public again. Targets: market leaders, proven demand, strong management, steady growth. India's first: **Tata Tea – Tetley (2000)**, ₹2,135 cr, ~77% debt; Tata Steel – Corus (7.6 bn)
- → **Equity buyback**: surplus cash buys shares from public (opposite of IPO); shares cease to exist; raises promoter stake

Effects of buyback (SM): (i) controlling holders' % rises (ii) **EPS rises** → price steps up (iii) BS: assets (cash) and equity both fall; cash outflow under **financing activities** and in statement of changes in equity (iv) **ROA, ROE improve**. SM eg: ₹1.5 cr of ₹2 cr cash, 1 L shares bought → assets 5 → 3.5 cr, ROA **4%** → **5.71%**, EPS **2.00** → **2.22**.

12 Unlocking value (SM 10)

Horizontal → optimum size, market share, curb competition, use idle capacity · vertical → save costs, avoid taxes / duties · diversification · use idle funds of another company · merge export / trading co. with industrial co. (cash flow) · merge subsidiary into holding co. (cash flow) · take over a **shell** with licences · nourish a **sick unit** of the group (image). Restructuring → more competitive, survive adverse climate, new direction.

13 Premium & discount (SM 11)

Premiums: **market share, controlling stake, brand value**; discounts: **small player, unlisted company**. Work out scenarios with probabilities. **Timing** matters — economic cycle (GDP), stock market (multiples), global events. Synergy realisation risk (eg Satyam Infoway – India World, 2000). Use several methods; NAV / past-earnings methods may be inadequate for growing or intangible-heavy businesses.

14 M&A failures (SM 12)

5 steps of a successful programme

1 Manage pre-acquisition (keep **secrecy**) · 2 Screen candidates · 3 Eliminate misfits, value the rest · 4 Negotiate · 5 Post-merger integration

Why mergers fail

Acquirers **overpay** · synergy **over-estimated** · poor **post-merger integration** · **psychological** barriers. Evidence: Jensen & Ruback — target holders **~20%**, acquirer **~0%**; McKinsey — 61% of 116 failed, 23% succeeded

To succeed: decide post-merger tasks · choose managers from both companies (and outside) · set performance yardsticks and evaluate · motivate them.

15 Acquisition through shares (SM 13)

- → **Steps**: value acquirer's equity → value target's equity → maximum shares that can be exchanged → pessimistic & optimistic scenarios
- → **Exchange ratio** = acquirer's shares given per target share. SM eg: B's 1,00,000 shares at ₹230; A values itself ₹200 → 230/200 = **1.15** → 1,15,000 shares
- → Share count set by: (1) acquirer compares value per share with / without merger (2) seller compares its value with value of shares received (3) negotiation — reflects **bargaining position**. Fewer shares issued → acquirer better off, target worse off; both bear **synergy risk**
- → **Impact of P/E**: P/E = reciprocal of cost of equity, reflects risk; combined P/E may differ. Value = E × P/E → a **lower combined P/E can offset synergy**; a higher one can add value even without synergy

SM illustration	Result
Illus 2: X 3 L sh, MP 30, EPS 4; Y 2 L sh, MP 20, EPS 2.25	(a) EPS ratio 2.25/4 → 1,12,500 sh; EPS_{XY} = 16.5 L ÷ 4,12,500 = **₹4** (both unchanged) (b) 0.5 : 1 → 4 L sh; EPS **₹4.125**: X +0.125; Y equivalent 4.125 × 0.5 = 2.0625 (−0.1875)
Illus 3: A ₹10 L, 2 L sh, MP 75; B ₹3 L, 50,000 sh, MP 60	(i) MP basis: 50,000 × 60/75 = 40,000 sh (4 for 5); EPS = 13 L ÷ 2.4 L = **₹5.42** (ii) B's EPS 6 unchanged: 3 L ÷ 5 = 60,000 sh → **6 for 5**
Illus 4: Simpson (V 20 L, 50,000 sh) + Wilson (V 10 L); combined 35 L	20,000 sh → Wilson 2/7 = ₹10 L · 25,000 → 1/3 = ₹11.67 L · 30,000 → 3/8 = ₹13.125 L; Simpson gets the rest (25 / 23.33 / 21.875 L)

16 Exam working (ICAI answer patterns; app-written method)

Swap ratio = target's measure ÷ acquirer's (EPS / BV / MP / intrinsic), or weighted average. Banks: CRAR (higher better), NPA (lower better → acquirer ÷ target). **MTP Nov 2026**: 4.0 × 0.40 + 0.8 × 0.25 + 2.0 × 0.35 = **2.5**; promoters 34.50 of 57.50 L = **60%**; EPS 400 ÷ 57.50 = **₹6.956**.

EPS_{AB} = (E_A + E_B + synergy) ÷ (N_A + N_B × ER) · **MPS_{AB}** = EPS_{AB} × P/E_{AB} · **equivalent EPS** of target = EPS_{AB} × ER

Max ER (acquirer not diluted): EPS_{AB} = EPS_A · **Min ER** (target not worse): EPS_{AB} × ER = EPS_B (Illus 3(ii)); same on MPS basis

True cost, share deal = target's % of merged firm × V_{AB} − V_B. PYQ May 2024: 20% × 2,800 − 500 = **₹60 L**; cash deal = cash − V_B.

THEORY + LINKS

17 Cross-border M&A (SM 14)

Route for global growth; Tata Steel CFO: organic growth in India too slow for large capital projects, few domestic targets. **Motivating factors (5)**: globalisation of production & distribution · integration of global economies · expansion of international trade & investment · countries reforming laws and giving **investment & tax incentives** · privatisation of state enterprises and banking consolidation.

18 SPACs (SM 15)

- → "**Blank cheque company**": raises funds by IPO to acquire an **unidentified target within a specific time**; no operations / revenue; money in **escrow**; not acquired in time → delisted, money returned; holders may **redeem** if not interested; on approval target becomes public
- → **India**: no specific framework. Companies Act — RoC can strike off a company not commencing operations within **one year**; SPACs take **2–3 years** → enabling provisions needed. Not eligible for listing under SEBI; SEBI planning a framework. **IFSCA** (GIFT City) released a consultation paper (offer size, sponsor holding, minimum application / subscription)
- → **Advantages**: capital even in volatile markets · lower fees, faster listing · negotiate with a **single entity** not thousands of investors · skilled professionals pick the target
- → **Challenges**: complex accounting / reporting; public-company readiness in **3–5 months** of LOI; typically **more expensive than an IPO**; investors' money idle in trust up to two years

19 Correlation — how Ch 14 actually connects

Ch 14 idea	The actual link (app-written cross-reference; the Ch 14 side is SM)
Swap ratio on intrinsic value	**Ch 5 / Ch 13**: value each company first (DDM, FCFE at K_e, FCFF at WACC − debt, P/E × EPS), divide by shares, then ratio. A wrong valuation = wrong ratio.
P/E = 1 ÷ cost of equity	**Ch 5**: with zero growth $P = E \div K_e$, so $P/E = 1/K_e$. A riskier merged firm → higher K_e → lower P/E → can wipe out synergy (SM 13).
Diversification motive	**Ch 6**: negatively correlated income streams cut total risk ($r = -1$ case); but shareholders can diversify themselves — the gain must show up as a lower discount rate / higher debt capacity.
Net gain = synergy − premium	**Ch 3**: this is the acquirer's NPV — accept if positive; synergy is the PV of incremental cash flows.
Reverse merger	**FR Ind AS 103**: reverse acquisition — legal acquirer (listed shell) is the accounting acquiree; tested by who gets control.
Buyback effects	**FR Ind AS 7**: buyback outflow is a financing activity (SM says so); EPS rises because shares fall (Ind AS 33 weighted shares).
Cross-border deal	**Ch 10 / Ch 11**: price in foreign currency → exposure until settlement (hedge); value foreign cash flows via forecast rates or foreign discount rate.